MGT 202 – CHAPTER 3

Group Activity:

Defining the Problem Behind a Business Idea

Topic: Starting a Small Business
Chapter: Longenecker Chapter 3
Level:
Group size: 8-10 students
Suggested duration: 60 - 90 minutes

Learning objective

By the end of the activity, students should be able to:

1. identify a real problem experienced by a particular customer group;
2. distinguish a problem from a proposed solution;
3. define a Minimum Viable Segment;
4. gather preliminary evidence about the problem; and
5. formulate a clear problem statement.

Student instructions

Step 1: Identify possible problems

Identify three problems experienced by people or businesses in Botswana.

Problems may relate to:

- accessing products or services;
- cost, delays or inconvenience;
- poor customer experience;
- waste or inefficient processes;
- safety, health or environmental concerns; or
- unmet needs within a particular community or industry.

You may consider:

- university or student services;
- transport;
- water and energy;
- agriculture;
- tourism;
- retail and delivery;
- housing;
- waste management;

- health and wellness; or
- digital services.

Select one problem that your group considers important.

Do not begin by choosing a product. Begin with the customer's problem.

Step 2: Define the customer group

For each problem, identify the people or organisations experiencing it.

Narrow the selected customer group into a **Minimum Viable Segment**: the smallest group of customers who share similar characteristics and experience the same problem.

Avoid broad descriptions such as:

- everyone in Botswana;
- all students;
- all businesses; or
- all young people.

Describe the group according to:

- location;
- occupation or role;
- relevant behaviour;
- situation in which the problem occurs and
- common need or difficulty.

A clearer segment would be:

Second-year University of Botswana students who live off campus and depend on public transport to attend morning classes.

The example is only for guidance and may not be used as the group's selected problem.

Step 3: Apply the 4U framework

Use the four questions below to evaluate whether the problem may be worth solving.

1. Unworkable

Does the problem make it difficult for customers to complete an important activity?

2. Unavoidable

Is the problem difficult for customers to ignore or avoid?

3. Urgent

Do customers need the problem addressed soon?

Step 4: Collect preliminary evidence

Speak to at least **three potential customers** from the selected segment.

Ask:

1. What difficulty do you experience?
2. When and where does it happen?
3. How frequently does it happen?
4. What consequences does it create?
5. How do you currently manage the problem?
6. What is unsatisfactory about the existing approach?

Record the answers without trying to persuade respondents to accept your preferred solution.

Step 5: Define the problem

Use the following format:

[Specific customer group] experiences **[specific problem]** when **[situation or context],** resulting in **[measurable or observable consequence].** Evidence from our interviews indicates that **[key finding].**

Example:

Small food vendors operating near offices in Gaborone struggle to estimate daily customer demand, resulting in food waste on some days and lost sales on others.

The statement identifies the customer, problem and consequence without prescribing a solution.

Step 5: Qualify the problem

Use a simplified **BLAC** analysis:

Question	Group response
Is the problem **blatan**t or already recognised by customers?	
Is it **latent** or not yet fully recognised?	
Is it **critical** enough for customers to seek a solution?	
Is it mainly **aspirational** or **desirable** but not essential?	

What evidence supports your classification?	

Students should not assume that every problem is **blatant and critical**. Their classification must be supported by interview or observation evidence.

Step 6: Identify the opportunity without designing the solution

Briefly explain:

- what is missing from the customer's current alternatives;
- why the problem remains inadequately addressed and
- why solving it may create a business opportunity.

This is the limited use of the **White Space** concept. Students should not develop detailed competitive strategies at this stage.

Group submission

Each group should submit a maximum of **5 slides**:

1. **Identified Problem**
2. **Customer segment:** Who experiences the problem?
3. **Problem evidence:** What did potential customers say?
4. **Problem statement:** What exactly is the problem?
5. **Problem qualification:** BLAC classification and the possible white space.

Important boundaries

Students should **not yet**:

- develop the complete product or service;
- prepare a Business Model Canvas;
- design an MVP or prototype;
- conduct detailed internal and external analysis;
- select a competitive strategy;
- prepare financial forecasts; or
- conclude that the idea is feasible.
- Do not copy the examples contained in the supplied material.
- Use a Botswana-based problem.
- All members must contribute.
- Be prepared to present the work when regular classes resume.

Those activities will follow after Chapter 3 concepts have been introduced. This activity provides the starting point for **developing start-up ideas, screening ideas and eventually assessing feasibility**.